

Video: Inside China's Property Crisis

Watch the video from Bloomberg Originals and answering the following questions about asset bubble boom and bust.

<https://www.youtube.com/watch?v=Qhwk3O6JHZk>

Fill-in-the-Blank (One or multiple answers)

1. The collapse of Evergrande exemplifies _____ because the company took excessive risks, assuming the government would bail them out.
 - Moral Hazard
 - Adverse Selection
 - Debt Deflation
 - Free-Rider Problem
 - Asset-Price Bubble
2. A key similarity between China's property crisis and the 2007–2009 financial crisis is the role of _____ in amplifying systemic risk.
 - Overleveraged institutions
 - Financial innovation
 - Subprime lending
 - Government bailouts
 - Shadow banking

True/False Questions

1. Moral hazard occurs when borrowers take excessive risks because they do not bear the full consequences, as seen in Evergrande's assumption of a government bailout.
2. Collateral requirements reduce moral hazard by ensuring borrowers have more to lose if they default.

3. Country Garden's financial struggles is an "isolated event" caused by poor management, not systemic issues.

Multiple Choice Questions (1 correct answer)

1. Which of the following best describes the asset-price boom and bust cycle in China's property market?

- A) A steady increase in property prices due to high demand.
- B) A rapid rise in property prices followed by a sharp decline due to government regulation and financial instability.
- C) A continuous decline in property prices due to oversupply.
- D) A stable property market with no significant price changes.

2. What role did Chinese banks play in the property market crisis?

- A) They stopped lending to developers, causing the crisis.
- B) They provided excessive loans to developers, contributing to the bubble.
- C) They regulated the property market effectively.
- D) They had no role in the crisis.

Multiple Choice Questions (Multiple Correct Answers)

1. Which of the following were primary goals of China's "Three Red Lines" policy ?

- A) Encourage rapid expansion of property developers.

- B) Limit property developers' ability to borrow excessively.
- C) Increase homebuyers' mortgage interest rates.
- D) Reduce systemic risk in the financial sector caused by developer debt.
- E) Ensure developers maintain sufficient liquidity to avoid defaults.

2. Which factors contributed to the asset-price boom in China's property market?

- A) Rapid urbanization and rising incomes.
- B) Strict government regulations on borrowing.
- C) Developers' reliance on presales to fund new projects.
- D) Declining demand for housing.

3. A Chinese developer uses presale funds to buy land for new projects instead of completing existing ones. This led to protests when buyers realized their homes were not built. Which asymmetric information problems does this scenario reflect?

- A) Adverse Selection
- B) Moral Hazard
- C) Free-Rider Problem
- D) Debt Deflation

4. Which factors from the 2007–2009 crisis are also visible in China's property crisis?

- A) Overreliance on collateralized debt obligations (CDOs).

B) Government bailouts of major financial institutions.

C) A surge in subprime lending.

D) Declining trust in credit rating agencies.

Sequencing Questions

Order the Stages

Arrange the following stages of a financial crisis in the correct order:

1. Banking Crisis
2. Asset-Price Decline
3. Credit Boom
4. Debt Deflation